AC CONTROLA (PVT) LTD
and
NATIONAL OIL INFRASTRUCTURE COMPANY OF ZIMBABWE
and
PETER C LLOYD N.O

HIGH COURT OF ZIMBABWE
CHITAPI J
HARARE, 16 February 2026

Opposed Court Application

T S Mjungwa, for the applicant
T Mapota, for the respondent

CHITAPI J: This is an application for the setting aside of the arbitral award of the second respondent. The applicant AC Controls (Pvt) Ltd lost its claim against the first respondent National Oil Company of Zimbabwe following arbitration proceeding which terminated by the award which is under challenge herein. The award was made on 1 December 2021. A copy of the award is attached to the founding affidavit as an annexure thereto.

The applicant set out the basis of the application in para(s) 49 and 50 of the founding affidavit as follows:

> "49. The applicant contends that the Arbitration award must be set aside for being in conflict with the public policy of Zimbabwe.
> 50. The conclusion in the award constitutes a palpable inequity that is so for reaching and outrageous in its defiance of logic and accepted moral stands that a sensible and fair minded person would consider that the conception of justice in Zimbabwe would be intolerably hurt by the award."

In the draft order, the applicant prays for an order as follows:

> "IT IS ORDERED THAT
> 1. The application be and is hereby granted.
> 2. The partial award issued by the second respondent on the 1st of December (sic) be and is hereby set aside.
> 3. The contract between the parties as amended has not terminated nor has it been validly terminated and remains extant, valid and binding.

4. That the purported repudiation of the contract by the respondent is of no force or effect.
5. The first respondent shall within fourteen (14) days of this court order allow the applicant to complete the remaining portion of the contract.
6. The first respondent shall pay costs of suit on a higher scale."

The background to the matter in summary is that the applicant won a tender flighted by the first respondent to supply, deliver and instal instrumentation, control and electrical equipment for storage tanks at Mabvuku Ethanol Tank Storage site. A formal contract was concluded in or about February 2018. Other contractors were also engaged to perform other works on other parts of the project. The contract price was $Z 268 199. The period of completion was seventy nine (79) days from the date of commencement. This date was agreed to be the day next following the date of the last signature of the contract. The last signature was embossed on 1 March 2018.

A subsequent addendum to the contract was entered into on 4 March 2020. Significantly, the date of completion was restated as 31 May 2020. Prior to that date a further addendum was executed by the parties on 4 May 2020. Significantly, and once again the issue of the completion date was dealt with therein as follows:

> "the parties hereby agree that the completion date for the Works shall be 2 September 2020 and the contractor shall perform its obligation under the contract and execute all works on or before 2 September 2020. Failure by the contractor to perform its obligations shall give the Employer the right to exercise any remedies available to it at law."

It is a common cause fact that the applicant failed to complete the contract works by 2 September 2020 contrary to the agreement and the addendum which extended the completion date to 4 September 2020. The first respondent decided to act on the breach. To that end it gave notice to the applicant on 4 September 2020 calling upon the applicant to remedy its breach of non completion of the contracted works. The first respondent gave the applicant thirty (30) days notice to remedy as provided in clause 14.1 of the contract.

Despite the giving of notice as aforesaid, the applicant failed to complete the works within the notice period which ended on 4 September 2020 and by letter of that date, the first respondent formally cancelled the contract. The second respondent in determining the matter noted that the issue of the failure by the applicant to complete the contracted work within the agreed period as further extended was common cause and that the principal issue for determination was whether in the circumstances of the failed completion of works by the agreed date, the first respondent was lawfully justified to cancel the contract.

In the proceedings before the second respondent, the applicant and the first respondent in turn, prayed for the following relief as noted in the partial arbitral award acted 1 December 2021 in para 15 thereof:

> "The Relief sought
> 15. In these proceedings the claimant seeks an award that:
> 15.1 the contract between the parties has not terminated nor has it been validly terminated and remains extant, valid and binding.
> 15.2 that the purported repudiation of the contract by the respondent is of no force and effect;
> 15.3 that respondent be permitted to complete the uncompleted portion of the contract work.
> 15.4 in the event that specific performance is no longer possible that claimant be awarded damages in the sum of US$1928 119.00; and
> 15.5 an award of costs.
> 16. respondent by contrast seeks an award;
> 16.1 dismissing claimants claim
> 16.2 confirming cancellation of contract
> 16.3 payment of liquidated damages in the sum of US$49 293.00
> 16.4 damages for loss of income in the sum of US$1215 000
> 16.5 delivery of material supplied by the respondent (alternatively payment of the sum of US$48 869.31; and
> 16.6 an award of costs."

The second respondent as agreed to by the parties first dealt with the issue of liability with issues of consequential relief being held over for determination after the liability issue was settled. The second respondent aptly set out the issue which he had to determine in para 18 of the partial arbitral award as follows;

> "18. In summary therefore, this partial award will address this issue; whether the claimant was in beach of the contract by failing to complete the contracted works by 2 September 2020, thus entitling the respondent to cancel the contract, or whether on the other hand, the respondents cancellation of the contract was wrongful."

The applicant in the founding affidavit in para 16 confessed that the project remained incomplete despite the lapse of the contract period. It went on to list the reasons for non completion of the contracted works timely as follows in para 17 of the founding affidavit.

> "The first respondent deliberately frustrated the performance of the contract in addition to an act of the State consequent upon an act God (sic) i.e the National Lockdown enforced by the State as a result of Covid 19. Global Pandemic and, further the acute shortage of foreign currency in Zimbabwe which shortages was outside the control of both parties."

In relation to frustration by the first respondent, the applicant averred that the first respondent withdrew the contractual advance payment facility in breach of the contract agreement v12, schedule 2 of the agreement. It was averred that the first respondent did not

make payment despite being furnished advance payment guarantees twice. It was averred that the breach resulted in a six(6) month delay in starting the project.

On foreign currency shortages the applicant averred that this country faced an acute foreign currency shortage in the period covered by the contract resulting in the applicant failing to access foreign currency to purchase foreign supplies. It averred that the position was communicated to the first respondent on 26 August 2019. The applicant averred that it only received part of the foreign currency which it required. It argued that the late availability and inadequacy of the foreign currency constituted a supervening impossibility which negatively impacted on the applicants ability to timely deliver its obligations on time. The applicant averred in para 28 of the founding affidavit as follows:

> "…The contract itself recognizes that the shortage of resources is an excusable ground for failure to deliver on time."

The applicant deposed that the contract "could not and did not lapse for as long as the supervening impossibility subsisted and the extent of its subsistence" whatever the last part of the sentence means.

On the alleged failure by the first respondent to make timely payment, the applicant averred that the first respondent did not make timely payments as it was required to. It averred that payments were not made within twenty one (21) days of submission of an interim payment certificate. It was further averred that the first respondent also failed to make payment for completed works on time. Details of such delayed payments were listed being that:

(1) Payment certificate No 1 generated in May 2018 was paid in August 2018.
(2) Payment certificate No 2 dated 29 September 2019 was paid on 28 November 2019.
(3) Payment certificate No 3 dated 15 January 2020 was only paid on 6 March 2020.

The applicant also averred that the first respondent underpaid on the interim certificates to the tune of US$164 631.34 which amount remains due despite demand.

On the issue of the lockdown caused by the COVID 19 pandemic the applicant averred that the lockdown negatively impacted on the performance of the contract because workers did not report for duty and foreign suppliers could not deliver the supplies (not itemized) due to

lockdowns in those countries as well. The applicant then reasoned as follows in para 40 of the founding affidavit:

> "The contract thus did not and could not have lapsed for as long as the act of God and the consequent act of State persisted. The contract thus remains extant taking into account the subsistence of the act of God and the act of State."

The applicant further averred that the first respondent repudiated the contract by acting in a manner consistent with not wanting to have the contract continue. It averred that despite the applicant having tendered and has continued to tender its service to perform on the contract, the first respondent instead unilaterally cancelled the contract for an alleged failure by the applicant to perform and has denied the applicant access to the works. It averred that the applicant seeks an order of specific performance arising thereof.

The applicant deposed that the second respondent's award be set aside for his failure to reach certain conclusions arising from proven facts. These are set out in para(s) 49-52 of the founding affidavit.

It thus occurs to me that it is convenient in assessing the applicant's protestations that I should reproduce them. The applicant stated"

> "BASIS OF APPLICATION
> 49. The applicant contends that the Arbitral award must be set aside for being in conflict with the public policy of Zimbabwe.
> 50. The conclusion in the award constitutes a palpable inequity that is so far reaching and outrageous in its defiance of logic or accepted moral standards that a sensible and for minded person would consider that the conception of justice in Zimbabwe would be intolerably hurt by the award.
> 51. I say so, because of the following reasons:
> 51.1 Whereas the second respondent accepted in para 22.1 of the award that there was an acute shortage of foreign currency in Zimbabwe which hindered applicant from timeously procuring supplies from foreign suppliers, he failed to conclude that same constituted supervening impossibility.
> 51.2 Despite the applicant having pleaded that COVID 19 induced lockdowns prevented its employees from reporting for duty the second respondent rejected that same constituted *force majeure.*
> 51.3 Although the second respondent purported to take into account the principle of *exceptio non adimpleti contractus* in his reasoning, he failed to take into account (sic) If he had done do he would have found/concluded that the first respondents late payments and failure to pay at all what was due to the applicant rendered the first respondent unable to validly claim performances as there were in mora as well as at the time of demand. 51.3.1 indeed by merely looking at para 34 and 35 of the arbitration award, it is gleaming that the second Respondent did not interrogate the submission that the first Respondent failure to pay the applicant estopped it from demanding performance until it had ..... itself of this breach.

> 52. Anyone looking at this award will shudder at the injustice allowed to be inflicted upon the applicant for acts for acts that are beyond its control and for being wronged and made to suffer for it. The conception of justice in Zimbabwe would be intolerably by the award."

The first respondent defended the award. It responded on material allegations made that the third addendum to the contract was entered into as an indulgence to the applicant after the applicant had failed to abide terms of addendums 1 and 2 in so far as they related to failed completion of contracted works within agreed dates. The first respondent averred that the addendum 3 was executed following a request for extension of the time for completion. The addendum extended the date of completion of the contracted works to 2 September 2020 was received. A failure to abide the date opened the door to the first respondent to pursue "any remedies available as law."

The first respondent denied that the amount of US$164 631.24 as claimed by the applicant was due nor that an invoice for that amount post the signing of addendum 2 dated 4 March, 2020. The first respondent also submitted that the contract agreement defined incidences which qualified as *force majeure* and that Covid-19 lockdown was not listed or contemplated. Applicant also submitted that addendum No 3 which set the extended date of completion as 2 September 2020 was executed when the Covid-19 lockdown legislation was in force and parties signed the agreement in the full knowledge of the existence of Covid-19 and the legislation on lockdowns. The legislation was in existence since March 2020. It was also averred that as at 4 May 2020, lockdown regulations had been relaxed and the nature of the scope of works which the applicant was to undertake was not prohibited.

On repudiation, the first respondent denied that it repudiated the contract and averred that it is the applicant which breached the contract in failing to complete contracted works by 2 September, 2020, being a date agreed to upon the applicants' request for extension. The first respondent whilst denying that any payments were not made for outstanding work averred that addendum No 3 did not make settlement of outstanding payments a condition for completion of the contracted work by 2 September 2020.

On the allegations that award is contrary to public policy the first respondent averred that the applicant did not relate to any fundamental principle of law or morality or justice which was allegedly violated by the second respondent. The first respondent averred that the second respondent took note of the foreign currency shortages and Covid-19 as well as the exception

non *adimpleti contractus* and ruled that they did not amount to supervening impossibility. It further noted that these challenges were in existence when addendum 3 was signed.

The law on setting aside of arbitral awards on the grounds that they contravene the public policy of Zimbabwe is clear. Counsel are not in conflict on the law. Article 34 of the Arbitration Act, [*Chapter 7:15*] provides that

> "An arbitral award may be set aside by the High Court only the High finds that:
> 1.....
> (ii) The award is in conflict with the public policy of Zimbabwe."

The leading authority on the subject in Zimbabwe is arguably the case of *Zesa* v *Maposa* 1999 (2) ZLR 452(S) quoted by applicant's counsel. The court stated at p 466 E-H that the award will be in conflict with the public policy of Zimbabwe where-

> "-the reasoning or conclusion in an award goes beyond mere faultiness and constitutes a palpable inequity that is so far reaching and outrageous in its defiance of logic or accepted moral standards that a sensible and fair-minded person would consider that the conception of justice in Zimbabwe would be intolerably hurt by the award, then it would be contrary to public policy to uphold it.
> - The same consequence applies where the arbitrator has not applied his mind to the question or has totally misunderstood the issue, and the resultant injustice reaches the point mentioned above."
> -

The said authority emphasizes that public policy focuses and fundamental flaws like bias, lack of jurisdiction or breaches of rules of natural justice. Public policy is not offended by a misconception of facts or legal errors. The courts approach is restrictive. It must appear from the award that such award mirrors something else foreign to acceptable conceptions of justice in Zimbabwe before the award can be said to violate the public policy of Zimbabwe.

In the case of *Chartpril Enterprises (Pvt) Ltd and Ors* v *Simo Electrical System* (Pvt) *Ltd* HH 602/21 this court had to this to say in relation to the meaning to be attributed to the phrase "public policy of Zimbabwe."

> "The purport of article 34 is to regulate the setting aside of awards. One of the grounds for setting aside an award is that the award is contrary to public policy. The grounds for setting aside an award on the basis of public policy are very limited. An award is not contrary to public policy simply because the arbitration was wrong in his conclusions of fact and law. The meaning of public policy is not defined in the Act or the model law, that responsibility having been left to the courts. The term public policy refers to the public policy of Zimbabwe. For an award to be said to be contrary to public policy, it must be contrary to fundamental policy of Zimbabwe law or public interest of Zimbabwe, justice, morality or be patently illegal. Public policy ought to be construed narrowly and is reserved for exceptional cases where arbitral awards." shock the conscience" or" violate the forums most basic notions of morality (per the Singapore Court of Appeal in *PT Assurance Jasa Indonesia (Penero) Dexia Bank SA* [2007] (1) SLR (R)577). A

> Litigant seeking to set aside an award of the basis that it is contrary to the public policy ought to specifically plead the public policy he alleges was breached and show how allowing the award to stand would be contrary to public policy."

Again, *Muvuti Investments (Private) Limited* v *Old Mutual Property Investments (Private) Limited and Anor* HH 422/18, the court stated as follows in relation to the approach which the court should take.

> "A court dealing with an application to set aside an award need not evaluate the merits or correctness of the award. An applicant in an application to set aside an award need not show that the arbitrator made a mistake. The courts will set aside awards where there are glaring instances of logicality, injustice and moral turpitude in the arbitral proceedings see *Peruke Inv (Pvt) Ltd* v *Willoughbys (Pvt) Ltd* SC 208/14"

A clinical consideration of the grounds relied upon to seek the setting aside of the arbitral award reveals that the applicant argues that the second respondent made a mistake in his conclusions given proven facts. The applicant averred that the second respondent should have made a finding of the presence of supervening impossibility of performance, force *majeure* and the existence of the *exceptio non adempleti contractus.* In short, the applicants argue that the second respondent ought to have reached different conclusions of law to the ones he did on the proven facts. Even assuming that another arbitrator would have reached different conclusions of law on the proven facts, that would not constitute a violation of the public policy of Zimbabwe. The court dealing with the setting aside of an arbitral award does not act as an appeal court. I did traverse in detail the applicant's complaints and grounds to seek the settling aside of the award, not because, I wanted to test the correctness of award but to clearly demonstrate that the grounds advanced by the applicant to seek the setting aside of the award were essentially crafted in the nature of ordinary grounds of appeal.

Even accepting for purposes of argument that the second respondent reached wrong conclusions of law on the facts, it is not the public policy of Zimbabwe that an arbitrator violates the public policy of Zimbabwe for making a mistake. In *casu,* and again for purposes of demonstrating that the applicant's application was bound to fail from inception, it is clear that addendum 3 which gave the applicant the final and last date of 2 September 2020 to complete the contracted works was executed when all the facts now raised in the application to seek the setting aside of the award were known to the applicant. The applicant did not explain even to the second respondent why it agreed to the deadline or the addendum in the light of the existence of the facts

now sought to be raised. The applicant was ill advised to seek the setting aside of the partial award in issue on public policy grounds.

The second respondent dealt with all issues now raised by the applicant. That is, issue of performance guarantees, late performance on certified invoices, COVID 19 pandemic and lockdown and purported repudiation and came to conclusions which cannot by any stretch of imagination be said to be so outrageous in defying logic to the extent that justice turns on its head so to speak euphemistically.

In relation to costs the first respondent prayed for costs on the higher scale. In so doing the first respondent did not justify the costs by alleging facts which the court should consider in exercising its discretion on costs. The first respondent pleaded as follows on in the opposing affidavit.

16.2 Respondent submits that this Application by Applicant is an abuse of court process and that it must be dismissed with costs on a higher scale."

A claim for costs on a scale other than the court scale cannot be granted upon a mere asking. Whether or not costs should be granted on the higher scale and indeed on any other scale other than the court tariff is a question of both fact and law. Facts must be pleaded and established by the party seeking such level of costs to justify that the circumstances of the case and conduct of the party against whom the costs are sought are deserving of censure. The court grants such costs as sought by the first respondent as a punitive measure to ensure that the successful party is not put out of pocket in legal expenses and to also express the displeasure of the court with the conduct of the errant party.

It is important for legal practitioners to appreciate that the rule that the costs are in the discretion of the court does not mean that the court just acts as a lottery machine to decide the incidence of costs. Whilst the general rule is that costs follow the event, the rule does not postulate that a party seeking costs even on the court scale should not allege facts to justify them. Costs constitute a claim which though arising as a consequence of the main claim is in fact a separate issue to be established on a balance of probabilities as well. It must not be assumed that success in the relief sought is synonymous with the grant of costs as a natural consequence of that success. The court exercises its discretion to grant costs on facts pleaded and argued before it to justify the costs claim. See *Delacy and Anor* v *South African Post Office* 2011 (A) BCL

905(CC) quoted with approval in *Robert Chiite and 7 Ors* v *Trustees of Leonard Cheshure Homs Zimbabwe Central Trust* CCZ 10/17.

In *casu*, no facts were pleaded to justify the prayer for costs on the scale claimed or on the court scale. I would have been inclined not to make an order of costs in favour of the first respondent on the basis that it did not justify the claim for costs. However, the applicants counsel saved the day for the first respondent when he submitted that in the event that the application fails, costs should be granted on the ordinary scale. Costs will accordingly be granted on this scale and the application must be dismissed for want of merit. The following order is made to dispose of the application.

IT IS ORDERED THAT.

1. The application be and it is hereby dismissed.
2. The applicant shall pay the costs of the application.

CHITAPI J:.....

Mlotshwa Solicitors, applicants legal representatives.
Gwaunza Mapota Legal Practitioners, first representative's legal practitioners.